

Unaudited Financial Report (Quarterly)

As on 1st Quarter (2081.06.30) of Fiscal Year 2081/82

Statement of Financial Position			
Particulars	This Quarter Ending	Previous Quarter Ending	Corresponding Previous quarter Ending
Assets			
Non-Current Assets			
Property, plant and equipment	3,073,689	3,245,851	3,671,569
Intangible assets	1,096,045,259	1,107,608,539	1,136,281,554
Total Non-Current Assets	1,099,118,948	1,110,854,390	1,139,953,123
Current Assets			
Cash and cash equivalents	7,437,310	1,917,332	3,634,334
Other current assets	109,444,576	94,244,007	115,882,015
Total Current Assets	116,881,886	96,161,339	119,516,349
Total Assets	1,216,000,834	1,207,015,729	1,259,469,472
Equity and Liabilities			
Equity			
Equity share capital	802,500,000	802,500,000	802,500,000
Retained Earnings	(154,255,253)	(184,194,205)	(166,753,513)
Total Equity	648,244,747	618,305,795	635,746,487
Liabilities			
Non-Current Liabilities			
Financial Liabilities			
Long Term Borrowing	564,250,167	578,702,178	602,321,976
Total Non-Current Liabilities	564,250,167	578,702,178	602,321,976
Current Liabilities			
Short Term Borrowing	-	6,794,900	18,659,140
Provisions	-	-	292,175
Other Current Liabilities	3,505,919	3,212,856	2,449,695
Total Current Liabilities	3,505,919	10,007,756	21,401,010
Total Liabilities	567,756,086	588,709,934	623,722,986
Total Equity and Liabilities	1,216,000,834	1,207,015,729	1,259,469,472

Statement of Profit or Loss			
Particulars	This Quarter Ending	Previous Quarter Ending	Corresponding Previous quarter Ending
Revenue	67,905,451	162,588,580	74,114,065
Cost of sales	3,654,254	17,311,431	3,218,681
Gross Profit	64,251,197	145,277,149	70,895,384
Depreciation	159,825	784,405	192,989
Amortization	11,417,138	45,522,411	11,362,816
Employee Benefits Costs	4,228,114	12,769,084	3,845,439
Administrative and Other Operating Expenses	1,413,388	5,577,508	1,892,697
Profit from operation	47,032,732	80,623,741	53,601,443
Other income	12,828	93,573	
Finance Costs	14,022,756	67,701,125	19,237,202
Profit Before tax	33,022,804	13,016,189	34,364,241
Income tax Expense			
Profit for the period	33,022,804	13,016,189	34,364,241
Other comprehensive gain/ (loss) for the year, net of tax			
Total comprehensive gain/ (loss) for the year, net of tax	33,022,804	13,016,189	34,364,241

Notes:

- 1) The above mentioned figure are subject to change during statutory audit of the books of accounts.

First Quarter Disclosure as of 30th Asoj 2081 (16th October, 2024) as per Securities Registration and Issuance Regulation Annexure 14 (Related to sub-regulation 1 of regulation 26)

1) Financial Statements

- a) The financial statements for the first quarter have been published as a part of this report.

There have been no transactions with the related party.

- b) **Key Financial Ratios at the end of the quarter:**

Particulars	This Quarter Ending	Previous Quarter Ending	Corresponding Previous quarter Ending
Earnings Per Share (EPS)	4.11	1.62	4.28
Current Ratio	33.34	9.61	5.58
Return on Assets (ROA)	2.72%	1.08%	2.73%
Networth Per Share	80.78	77.05	79.22
Price Earnings Ratio	100.12	252.78	47.41

2. Management Analysis

- a) **Any changes in the stock, income and liquidity during the quarter and reason for change, if any:**

Revenue from the Sale of Electricity has decreased by 8.38% compared to the corresponding previous year's quarter ending. The decrease in revenue is caused by the inability to operate one machine due to the breakdown of turbine shaft during this quarter. The net profit for the first quarter end of FY 2081/82 has decreased by 3.90% compared to the previous year's quarter ending due to the reduction in revenue. There has been an improvement in the administrative and other operating cost by 25.32% and financing cost by 27.11%.

- b) **The statement of management analysis on the upcoming business plan:**

The company management is persistently working on improving internal control system and risk management practices.

- c) **The analytical statement of the possible effect on company's profitability, stock and cashflow based on the past experience:**

The company has maintained steady progress on profitability and there has been no such other incident during the period which might have negative impact on the profit or cash flow of the company.

3. Statement relating to Legal Action

During the period, there were no legal cases raised or pending against the company and from the company.

4. Analysis of the share transaction of the company

- a) During the first quarter, MHCL shares traded actively for 57 days till the end of Asoj 2081.

- b) The highlights of the share transactions during the quarter are as follows:

Maximum Price	501.20	Transaction Days	57
Minimum Price	364.00	Total Shares	1,910,063
Closing Price	405.00	No of transactions	24,120

5. Problems and Challenges

a) Internal

- Fund management
- Maintaining operational efficiency
- Retention and optimization of skilled human resource.

b) External

- Low water flow risk in the rivers for hydropower plant/projects
- Loss due to natural disaster –Flood, Earthquake, force measure issue etc.
- Inadequate existing transmission line
- Lack of domestic suppliers and vendors for hydropower equipment and spare parts.
- Inconsistent regulatory and policy level commitment from the government regulatory agencies in development of hydroelectric projects

c) Strategies

- Implementation of HR optimization plan
- Lobbying with government authorities for investment friendly environment
- Identification of different financial instruments along with risk assessment
- Development of various internal policies and procedures

6. Corporate Governance

The Board of Directors are committed to upholding good corporate governance practice in the company through implementation of policies and guidelines for proper functioning of the company. The company has been functioning in compliance with Companies act, 2063 and Corporate Governance Guidelines, 2074 issued by Security Exchange Board of Nepal.

7. Declaration of Chief Executive Officer on Truth, Tactfulness

I, the Chief Executive Officer of this Company, take responsibility for accuracy of the information and details mentioned in this report. I also declare that the information and details mentioned in this report are complete, true, based on facts and the information, details necessary for making informed decision by the investors are not concealed.